

23-3 The Components of GDP

Spending in an economy takes many forms. At any moment, the Lopez family may be having lunch at Burger King; Ford may be building a car factory; the U.S. Navy may be procuring a submarine; and British Airways may be buying an airplane from Boeing. GDP includes all of these various forms of spending on domestically produced goods and services.

To understand how the economy is using its scarce resources, economists study the composition of GDP among various types of spending. To do this, GDP (which we denote as Y) is divided into four components: consumption (C), investment (I), government purchases (G), and net exports (NX):

$$Y = C + I + G + NX.$$

This equation is an *identity*—an equation that must be true because of how the variables in the equation are defined. In this case, because each dollar of expenditure included in GDP is placed into one of the four components of GDP, the total of the four components must be equal to GDP. Let's look at each of these four components more closely.